

19. 9:00 AM CASE NUMBER: C25-02439
CASE NAME: CHANEL READER-JONES VS. MARJORIE RINKER
*FURTHER CASE MANAGEMENT CONFERENCE

FILED BY:

TENTATIVE RULING:

If either party challenges the tentative ruling at Line 20, there will be a Further Case Management Conference. If the tentative ruling stands, the Court sets a post-arbitration status conference for **Monday, December 14, 2026 at 8:30 a.m.** The parties are ordered to file a joint statement with an update on the arbitration at least seven calendar days in advance of the hearing.

Law & Motion
Add On

20. 9:00 AM CASE NUMBER: C25-02439
CASE NAME: CHANEL READER-JONES VS. MARJORIE RINKER
*MOTION/PETITION TO COMPEL ARBITRATION AND DISMISS OR STAY PROCEEDINGS FILED BY:
RINKER, MARJORIE

FILED BY:

TENTATIVE RULING:

Defendants' motion to compel arbitration is **granted**. The motion to dismiss is **denied**. The action is **stayed** pending the outcome of arbitration. The Court sets a post-arbitration status conference for **Monday, December 14, 2026 at 8:30 a.m.** The parties are ordered to file a joint statement with an update on the arbitration at least seven calendar days in advance of the hearing.

Background

This action arises from Plaintiff Chanel Sanaa Reader-Jones's employment with Defendants Macy's Inc., Macy's Retail Holdings LLC, Macy's Systems and Technology, Inc., and Macy's Sun Valley Shopping Center (collectively, "Entity Defendants") at the Sunvalley Mall Macy's store in Concord from October 2022 to March 2024. Plaintiff alleges the following causes of action against the Entity Defendants and individual defendants Marjorie Rinker, Jashay Bingham Cherry, Scott Kennell, and Heather Meredith ("Individual Defendants"): (1) discrimination (FEHA); (2) hostile work environment harassment (FEHA); (3) retaliation (FEHA); (4) failure to provide reasonable accommodation (FEHA); (5) failure to engage in the interactive process (FEHA); (6) failure to prevent discrimination, harassment, or retaliation (FEHA); (7) breach of oral contract not to terminate employment without good cause; (8) breach of implied-in-fact contract not to terminate employment without good cause; (9) negligent hiring, supervision, and retention; (10) wrongful termination in violation of public policy; (11) violation of California Labor Code § 1102.5; (12) intentional infliction of emotional distress; and (13) violation of

the California Family Rights Act.

On December 24, 2025, the Entity Defendants (with the exception of Macy's Sun Valley Shopping Center, which Defendants represent does not exist as a legal entity) and the Individual Defendants filed this motion to compel arbitration and to dismiss or stay the action. The motion is supported by the Declarations of Cynthia Ripak, Senior Manager of the Office of Solutions InSTORE for Macy's, Inc., and Nicolas Moreau, Senior Director of Human Resources Technology, Data and Analytics for Macy's Corporate Services, LLC.

Defendants' declarants state that In 2003, Macy's, Inc. developed and implemented the Solutions InSTORE Program, an internal early dispute resolution program. (Ripak Decl. ¶ 5.) The Program is structured in four steps. In Step 1, "Open Door," the employee is encouraged to bring her concerns to a supervisor or member of local management. In Step 2, the employee submits a written request for review of the Step 1 decision, and a human resources professional not involved in the underlying decision conducts an independent investigation. In Step 3, the employee submits a written request for reconsideration of the Step 2 decision to the Office of Solutions InSTORE. In Step 4, employees who do not return an opt-out form within the prescribed time period agree to arbitrate their claims that fall within the scope of the arbitration agreement. Step 4 arbitration is administered by the American Arbitration Association. (Ripak Decl. ¶ 9.) Employees are not required to go through Steps 1, 2, or 3 before proceeding to Step 4 Arbitration. (Ripak Decl. ¶¶ 9, 11.)

By accepting or continuing employment, employees agree to arbitration under the Solutions InSTORE Program. (Ripak Decl. ¶ 8 and Exh. A (Plan Document).) However, an employee can opt out of Step 4 Arbitration by completing an Election Form and mailing it to the Office of Solutions InSTORE at the address listed on the Form within 30 days of hire. (Ripak Decl. ¶¶ 9, 22 and Exh. A.) The Program prohibits retaliation against employees who use or opt out of Step 4 Arbitration. (Ripak Decl. ¶ 12 and Exh. A (Brochure) at p. 4.) Additionally, an employee's election is kept confidential, and no one in the employee's local workplace has access to the election. (Ripak Decl. ¶ 13.)

The Plan Document describes the procedures and protections that apply to Step 4 Arbitration. An employee initiating arbitration pays a filing fee of one day's pay or \$125, whichever is less, and Macy's pays the other costs to access the arbitral forum. (Ripak Decl. ¶ 15(a) and Exh. A (Plan Document) at pp. 16-17.) If the employee is represented by counsel at the arbitration, Macy's reimburses out-of-pocket legal fees up to \$2,500 over each rolling 12-month period; if the employee is not represented, Macy's reimburses incidental costs up to \$500 over the same period. (*Id.* at p. 17.) The Plan Document provides that if an employee is required to arbitrate claims against Macy's, Macy's is likewise required to resolve any claims it has against the employee through arbitration. (Ripak Decl. ¶ 14 and Exh. A (Plan Document) at p. 6.) The arbitration allows twenty interrogatories per side (each of which may include a document request), three depositions per side, the employee's right to request all documents in her personnel file, but gives the arbitrator discretion to allow additional discovery. (Ripak Decl. ¶ 15(d) and Ex. A (Plan Document) at pp. 10-12.) The arbitrator has the same authority as a judge to grant any available relief, the statutes of limitation in court apply equally in arbitration, and the arbitrator must issue a written decision. (Ripak Decl. ¶ 15(e), (g) and Exh. A (Plan Document) at pp. 8, 16, 18.)

The Plan Document covers, with limited exceptions, all employment-related disputes, controversies, and claims arising under federal, state, or local law. (Ripak Decl. ¶ 14 and Exh. A (Plan Document) at

pp. 6-7.) The arbitration agreement is subject to the Federal Arbitration Act. (*Id.* at p. 18.) The agreement also requires arbitration of claims against Macy's employees, officers, or other agents. (*Id.* at p. 6.)

At the outset of her employment, Plaintiff received notice of the Solutions InSTORE Program, the arbitration component of the Program (Step 4-Arbitration), and her right to opt out of arbitration by submitting an Election Form within 30 days of hire. (Ripak Decl. ¶ 17.) Macy's used various means to notify Plaintiff of the InSTORE Program and her opt-out right: InSTORE New Hire Acknowledgement form, the Plan Document, the New Hire Brochure, the Election Form, the InSTORE Program video, and the InSTORE website. (Ripak Decl. ¶ 17 and Exs. A-D.)

Also at the outset of her employment, Plaintiff viewed and electronically signed the Solutions InSTORE New Hire Acknowledgement. (Moreau Decl. ¶¶ 8, 12 and Ex. B; Ripak Decl. Ex. B.) By electronically signing the Acknowledgement, Plaintiff acknowledged receipt of the Solutions InSTORE Plan Document and other materials, and that she had 30 days from her date of hire to review the Solutions InSTORE materials and mail a completed Election Form to the Office of Solutions InSTORE if she did not wish to agree to Step 4 Arbitration. (Moreau Decl. ¶ 9.) The Acknowledgement Plaintiff signed states, in relevant part, that she had received the Solutions InSTORE Brochure, Plan Document, and Election Form; that she had been instructed to review the materials carefully; that she had 30 days from her date of hire to postmark and mail the Election Form to the Office of Solutions InSTORE if she wanted to opt out of Step 4 Arbitration; that she would be automatically enrolled in the Solutions InSTORE Program and agree to final and binding individual arbitration from her date of hire unless she took the steps required to opt out within 30 days; that any disputes or claims relating to her employment, other than those expressly excluded from arbitration in the Plan Document, would be resolved in arbitration rather than by a judge or jury; that the only way to opt out of Step 4 Arbitration was by mailing the Election Form to the Office of Solutions InSTORE within 30 days of her date of hire; and that her decision would be kept confidential and would not affect her job. (Moreau Decl. Ex. B; Ripak Decl. Ex. B.)

The opt-out Election Form, entitled "Early Dispute Resolution Program Election Form," was contained in the Brochure provided to Plaintiff. (Ripak Decl. ¶ 20 and Exh. A, Bates 027.) The Form also states that employees must act within 30 days of their hire date to opt out of Step 4 Arbitration and that, if they do not, they will be agreeing to Step 4 Arbitration. (*Id.*) The Form states that the employee must mail a completed Election Form to the Office of Solutions InSTORE at the listed mailing address to opt out of arbitration. (*Id.*)

Plaintiff viewed the Solutions InSTORE Program video on October 21, 2022. (Moreau Decl. ¶ 16 and Exh. F.) The video explains the four steps of the Program, including arbitration and the right to opt out of arbitration. (Ripak Decl. ¶ 24 and Exs. C, D.) Plaintiff did not return an Election Form. (Ripak Decl. ¶¶ 26-29.)

Plaintiff opposes the motion to compel. Plaintiff does not dispute that all of her claims fall within the scope of the arbitration agreement if it is enforceable. Instead, she argues that Defendants failed to authenticate her electronic signature on the arbitration agreement, she did not knowingly consent to arbitration, and the agreement is procedurally and substantively unconscionable.

Legal Standards

Both the California Arbitration Act (CAA) and the Federal Arbitration Act (FAA) reflect “a strong public policy of enforcing arbitration agreements.” (*Weiler v. Marcus & Millichap Real Estate Investment Services, Inc.* (2018) 22 Cal.App.5th 970, 979.) “Thus, a court generally must compel arbitration in accordance with the agreement when requested by one of the parties. (Code Civ. Proc., § 1281.2; 9 U.S.C. § 2.)” (*Ibid.*)

“The FAA applies to arbitration clauses in contracts involving interstate commerce and ‘was designed ‘to overrule the judiciary’s long-standing refusal to enforce agreements to arbitrate,’ [citation], and to place such agreements “‘upon the same footing as other contracts.’” [Citation.]” (*Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110, 1117 (Rodriguez).) Section 2 of the FAA states that “[a] written provision in ... a contract ... to settle by arbitration a controversy thereafter arising out of such contract ... shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (9 U.S.C. § 2.)

The CAA “echoing the FAA’s language and its policy favoring arbitration, likewise provides that a written arbitration agreement ‘is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.’” (*Rodriguez, supra*, 136 Cal.App.4th at p. 1117.)

“The court’s role under the [FAA] is ... limited to determining (1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) “If the response is affirmative on both counts, then the Act requires the court to enforce the arbitration agreement in accordance with its terms.” (*Ibid.*)

But even when the FAA applies, “[i]n determining the rights of parties to enforce an arbitration agreement within the FAA’s scope, courts apply state contract law while giving due regard to the federal policy favoring arbitration.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) Under California law, “[t]he petitioner [seeking to compel arbitration] bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842.)

Discussion

A. The Existence of an Agreement

If a party to a civil action asks the court to compel arbitration of the pending claim, the court must determine in a summary proceeding whether an “agreement to arbitrate the controversy exists.” (See Code Civ. Proc., §§ 1281.2, 1290.2; *Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 412–413.) “Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence. If the party opposing the petition raises a defense to enforcement ... that party bears the burden of producing evidence of, and proving by a preponderance of the evidence, any fact necessary to the defense.” (*Rosenthal, supra*, at p. 413.)

The parties here dispute both the existence of an agreement (the authenticity of plaintiff's signature) and a defense to its enforcement (plaintiff's claim that it is unconscionable (*Fisher v. MoneyGram International Inc.* (2021) 66 Cal.App.5th 1084, 1094 ["unconscionability is a defense to enforcement of a contract"].) On the defense of unconscionability, plaintiff bears the burden of proof. (*Ibid.*) As to the existence of an agreement, Defendants bear the ultimate burden of proof, but the court resolves the dispute using a three-step burden-shifting process. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1056.)

The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. (Cal. Rules of Court, rule 3.1330; *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219.) A movant can bear this initial burden "by attaching a copy of the arbitration agreement purportedly bearing the opposing party's signature." (*Espejo, supra*, 246 Cal.App.4th at p. 1060.) At this step, a movant need not "follow the normal procedures of document authentication" and need only "allege the existence of an agreement and support the allegation as provided in rule [3.1330]." (*Condee, supra*, at pp. 218, 219.)

If the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement's existence. To bear this burden, the arbitration opponent must offer admissible evidence creating a factual dispute as to the authenticity of their signature. The opponent need not prove that his or her purported signature is not authentic, but must submit sufficient evidence to create a factual dispute and shift the burden back to the arbitration proponent, who retains the ultimate burden of proving, by a preponderance of the evidence, the authenticity of the signature. (*Espejo, supra*, 246 Cal.App.4th at p. 1060.)

Defendants met their initial burden by attaching to the motion a copy of the arbitration agreement purporting to contain Plaintiff's electronic signature. (*Id.*) Plaintiff's declaration, however, does not raise a factual dispute as to the authenticity of the electronic signature because Plaintiff does not deny that the signature is her own. To the contrary, she affirmatively states that she was "forced to acknowledge the agreement in order to complete [her] onboarding." (Reader-Jones Decl. ¶ 5.)

Even if Plaintiff had stated she could not recall signing electronically, Defendants would have met their burden of proving the authenticity of the signature through the Moreau Declaration. Moreau states that after signing the E-Signature Disclosure and Consent form, the new hire may access, review, and sign the Solutions InSTORE New Hire Acknowledgement. (Moreau Decl. ¶ 8.) The system requires the new hire to view the document before allowing her to enter her electronic signature, and the new hire must then enter her name, email address, and date of birth (MMDDYYYY) before clicking "complete." (*Id.*) The name and date of birth as entered are validated against the data maintained in Macy's company database; if the name and date of birth do not match exactly, the new hire receives an error message and is prompted to complete the e-signature information again. (*Id.* ¶ 10.) The Solutions InSTORE New Hire Acknowledgement is the only form during onboarding that requires the new hire to enter her date of birth and to have it validated against the company database. (*Id.* ¶ 14.) Once the signature is saved, neither Macy's nor its divisions or subsidiaries can change it, and only a select few corporate employees can access the electronic signature database. (*Id.* ¶ 11.) These security procedures would be sufficient to establish that the signature was Plaintiff's act under Civil Code section 1633.9(a) (an electronic signature is "attributable to a person if it was the act of the person," and "[t]he act of the person may be shown in any manner, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or

electronic signature was attributable").

Plaintiff's claim that she did not understand the arbitration agreement does not defeat contract formation. A party who signs a written agreement is bound by its terms regardless of whether she read it or was aware of its arbitration provision. (*Iyere v. Wise Auto Group* (2023) 87 Cal. App. 5th 747, 759.) Defendants have met their burden of proving the existence of a valid agreement to arbitrate.

B. Unconscionable Agreement

"If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result." (Civ. Code, § 1670.5(a); *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 122.) To be unenforceable, a contract must be both procedurally and substantively unconscionable, but the elements need not be present in the same degree. The analysis employs a sliding scale: "... the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Ibid.*)

1. Procedural Unconscionability

Procedural unconscionability concerns the manner in which the contract was negotiated and the parties' circumstances at that time. It focuses on the factors of oppression or surprise. (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329.) Adhesive contracts create a "modest degree of procedural unconscionability." (*Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248.)

Plaintiff argues that the Solutions InSTORE arbitration agreement is adhesive because it was presented on a "take-it-or-leave-it" basis and she could not proceed with her onboarding paperwork without acknowledging the program. (Reader-Jones Decl. ¶ 5.) Plaintiff states that she was not told she could negotiate the agreement or given the opportunity to consult with counsel. (*Id.* at ¶ 8.) Plaintiff points to Moreau's declaration statement that the Macy's Solutions InSTORE New Hire Acknowledgment "must be signed by all employees at time of hire." (Opp., p. 9:17-19.)

The adhesive nature of the agreement in this case is sufficient to establish some level of procedural unconscionability. (See *Swain v. LaserAway Medical Group, Inc.* (2020) 57 Cal.App.5th 59, 69 [an opt out provision does not insulate an arbitration agreement from a finding of procedural unconscionability].) The fact that Plaintiff did not have attorney review and was a 21-year-old new hire without a college degree also weighs in favor of finding some procedural unconscionability, but on balance the procedural unconscionability is minimal. Plaintiff is therefore required to show a strong degree of substantive unconscionability for the agreement to be unenforceable.

2. Substantive Unconscionability

"Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided. [Citations.] A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must

be 'so one-sided as to "shock the conscience."' (Pinnacle, supra, 55 Cal.4th at p. 246.)

Plaintiff identifies five features of the Solutions InSTORE arbitration agreement that she contends are substantively unconscionable: (1) a limitation on damages and attorney fees; (2) a lack of mutuality; (3) an indefinite duration; (4) unreasonable restrictions on discovery; and (5) a confidentiality provision. As explained below, the Court agrees with Plaintiff only as to the confidentiality provision.

Plaintiff first argues that the agreement improperly limits the recovery of damages and attorneys' fees. (Opp. pp. 8-9.) Plaintiff has not identified any provision of the agreement that limits the damages or fees the arbitrator may award. To the contrary, the Plan Document states "the Arbitrator shall have the same power and authority as would a judge to grant any relief, including costs and attorney's fees, that a court could grant, in conformance with applicable principles of common, decisional and statutory law in the relevant jurisdiction." (Ripak Decl. ¶ 15(e); Exh. A, Art. 16, p. 18.)

Plaintiff argues that the agreement is one-sided and lacks mutuality because it covers "any dispute arising out of termination" which will almost always be a claim brought by an employee against the employer. Plaintiff relies on *Zullo v. Superior Court* (2011) 197 Cal.App.4th 477, 486 which the Court finds distinguishable. The arbitration policy in *Zullo* "expressly applie[d] to any dispute arising out of the termination" and added "a nonexclusive list of the statutes and laws to which it applie[d], all of which are of equal employment and nondiscrimination laws" under which "[e]mployees bring actions." (*Id.* at p. 486.)

The California Supreme Court in *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237 considered a similar challenge and rejected it, holding that an agreement covering "any claim or action arising out of or in any way related to the hire, employment, remuneration, separation or termination of Employee" "clearly covers claims an employer might bring as well as those an employee might bring." (*Id.* at 1248-1249.) The Solutions InSTORE Plan Document is structured the same way. It applies to "all employment-related legal disputes, controversies or claims arising out of, or relating to, employment or cessation of employment...." (Ripak Decl. Ex. A at p. 6.) It does not list only employee-side claims as examples. The Plan Document also expressly provides that the agreement is mutual: if an employee is required to arbitrate claims against Macy's, Macy's is likewise required to resolve any claims it has against the employee through arbitration. (Ripak Decl. ¶ 14 and Exh. A (Plan Document) at p. 6.) Thus, the agreement is not one-sided.

Plaintiff argues the agreement is of indefinite duration because it applies to all disputes "arising out of, or relating to, employment or cessation of employment," making the agreement unconscionable under *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312. (See Opp. pp. 9-10.) The argument misreads *Cook*. The agreement in *Cook* required arbitration of "all claims, whether or not arising out of Employee's University employment." (*Id.* at p. 317.) Because the agreement could reach any dispute the plaintiff might have with USC for the rest of her life, including claims having nothing to do with her employment, and could only be terminated by a writing signed by both Cook and the President of USC, it was found to be unconscionable. (*Id.* at pp. 318, 325-326.) *Cook* distinguished agreements like those in *Roman v. Superior Court* (2009) 172 Cal.App.4th 1462 and *Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, which were limited to employment-related claims and therefore did not raise the same concern. (*Cook, supra*, 102 Cal.App.5th at pp. 323-324.)

The Solutions InSTORE Plan Document is more like the agreements in *Roman* and *Little*. It covers only

"all employment-related legal disputes, controversies or claims arising out of, or relating to, employment or cessation of employment" and does not apply to claims unrelated to Plaintiff's employment with Macy's. Plaintiff argues that because the agreement covers "cessation of employment" disputes, it must be indefinite in duration. But coverage of post-termination claims is standard in employment arbitration agreements and not the indefinite scope *Cook* identified. Once the statutes of limitation for those employment-related claims run, the agreement has nothing left to operate on.

Plaintiff argues that the agreement places unreasonable constraints on discovery by limiting the parties to three depositions and one set of twenty interrogatories as a default limit. Plaintiff relies on *Kinney v. United Healthcare Servs.* (1999) 70 Cal.App.4th 1322, 1332, which found unconscionable an agreement allowing two depositions and twenty-five document requests, and *Fitz v. NCR Corp.* (2004) 118 Cal.App.4th 702, 716-717, which found unconscionable an agreement allowing only two depositions. (Opp. pp. 6-7.) Plaintiff contends that because the Solutions InSTORE Program allows only one more deposition than *Kinney* and *Fitz* and five fewer interrogatories than *Kinney*, it is "similarly restrictive" and therefore unconscionable.

The Court is not persuaded for two reasons. First, the discovery permitted under the Plan Document is broader than acknowledged. Beyond the three depositions and twenty interrogatories (each of which may include a document request), the Plan Document requires both parties to make mandatory and continuing disclosures of all documents relevant to the claims and defenses in the case, allows the employee to request all documents in her personnel file, and gives the arbitrator discretion to allow additional discovery upon a showing of "appropriate justification." (Ripak Decl. ¶ 15(d) and Ex. A (Plan Document) at pp. 10-12.)

Second, the California Supreme Court recently rejected a similar challenge in *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478. In *Ramirez*, the arbitration agreement was signed during the employee onboarding process and allowed the parties 90 days to exchange information and take depositions, permitted each party to take up to four depositions, allowed up to 20 interrogatories and 15 requests for documents, and granted the arbitrator the authority to decide all discovery disputes related to the arbitration. (*Id.* at pp. 490–491, 503–504.) The plaintiff argued the arbitration agreement was procedurally unconscionable as an adhesion contract and substantively unconscionable due to discovery limitations, among other reasons. (*Id.* at p. 490.) Specifically, she contended that she required at least seven depositions to substantiate her claims, but the discovery provision only allowed for four, rendering it substantively unconscionable. (*Ramirez*, at p. 505.)

The court found that the discovery limitations in the arbitration agreement were not substantively unconscionable for two reasons. (*Id.* at pp. 505–506.) First, it stated that the unconscionability assessment of discovery provisions must only focus on "general factors that can be examined without relying on subsequent developments." (*Ramirez*, at p. 506.) These factors include: (1) the types of claims covered by the agreement, (2) the amount of discovery allowed, (3) the degree to which that amount may differ from the amount available in conventional litigation, (4) any asymmetries between the parties with regard to discovery, and (5) the arbitrator's authority to order additional discovery. (*Ibid.*) The discovery provision could not be substantively unconscionable simply because the plaintiff eventually required more depositions than the provision allowed in writing. (See *ibid.*) The court then emphasized that "giving the arbitrator authority to expand discovery [was] one way the [Armendariz] adequacy concern can be addressed." (*Ibid.*) The discovery provision could have been more precise,

but it gave the arbitrator the authority to resolve all discovery disputes in a manner that allowed a full and equal opportunity to discover and present evidence. (*Ibid.*) The court stated that it would assume that the arbitrator would act reasonably and in conformity with the law and that, where a contract is susceptible to two interpretations, a court should select the interpretation that makes the contract valid. (*Id.* at pp. 506–507.) The court concluded that the discovery provision permitted the arbitrator to order expanded discovery necessary to allow fair arbitration of the claim. (*Ibid.*) This interpretation eliminated any unconscionability. (*Id.* at p. 507.)

Here, as in Court concludes that, as in *Ramirez*, the agreement allows Plaintiff to access discovery that may be necessary to adequately arbitrate her FEHA claims. The Solutions InSTORE Program is not materially more restrictive than the agreement *Ramirez* approved. Under the agreement, there is no limitation to the additional discovery and no additional burden on either party to justify it with the arbitrator. (Cf. *Mills v. Facility Solutions Group, Inc.* (2022) 84 Cal.App.5th 1035, 1059 [finding a discovery provision that allowed the arbitrator to order discovery only upon showing of “substantial need” was unconscionable].) The Court does not find the discovery provisions to be substantively unconscionable.

3. Confidentiality Provision

Plaintiff's fifth challenge is to the confidentiality provision in Article 11(g) of the Plan Document which provides: "Unless prohibited by law, all aspects of an arbitration pursuant to these Solutions InSTORE Early Dispute Resolution Rules and Procedures, including the hearing and recording of the proceeding, shall be presumed confidential and not open to the public." (Ripak Decl. Ex. A (Plan Document), Art. 11(g).)

In *Ramos v. Superior Court* (2018) 28 Cal.App.5th 1042, 1066-1077 (Ramos), the court found a confidentiality provision in an arbitration agreement substantively unconscionable because it impaired the employee's ability to gather evidence in support of her claim. The provision required the employee to keep "all aspects" of the arbitration proceedings confidential. The court found the provision effectively prohibited an employee from contacting witnesses or conducting informal discovery, including by interviewing other employees. Such limitation "would not only increase [the employee's] costs unnecessarily by requiring her to conduct depositions rather than informal interviews, it also defeats the purpose of using arbitration as a simpler, more time-effective forum for resolving disputes. In addition, requiring discrimination cases be kept secret unreasonably favors the employer to the detriment of employees seeking to vindicate unwaivable statutory rights and may discourage potential plaintiffs from filing discrimination cases." (*Id.* at p. 1066.) For those reasons, the court found the provision to be unconscionable. (*Ibid.*)

The Court finds that the confidentiality provision in the Solutions InSTORE Plan Document is substantively unconscionable because it covers "all aspects" of the arbitration and it applies to FEHA discrimination claims of the sort Plaintiff brings here. By presuming confidentiality as to “all aspects” of the arbitration (which would include Levels 1-3), the provision creates the same chilling effect on informal information-gathering identified in *Ramos*. Defendants do not argue that the Solutions InSTORE provision is materially narrower than the provision in *Ramos*. Although the Solutions InSTORE provision uses the language "presumed confidential" rather than "strict confidence," both provisions reach "all aspects" of the arbitration make confidentiality the default position.

Defendants respond that the question of the confidentiality provision's enforceability has been delegated to the arbitrator under the Plan Document which states "[t]he Arbitrator shall make the determination as to whether the arbitration proceedings will remain confidential based on the existing law of the jurisdiction and this provision." Alternatively, Defendants argue this provision should be severed and the rest of the agreement enforced. (Reply, pp. 8-9.)

An arbitration agreement is permeated by unconscionability and should not be enforced when it "contains more than one unlawful provision. ... Such multiple defects indicate a systematic effort to impose arbitration ... not simply as an alternative to litigation, but as an inferior forum that works to the [employer's] advantage." (*Samaniego v. Empire Today, LLC* (2012) 205 Cal.App.4th 1138, 1149.)

Here, the Court finds that the confidentiality requirement in Article 11(g) is the only unconscionable provision. The Solutions InSTORE arbitration agreement is not permeated by unconscionability, and severance of the confidentiality provision is appropriate. In light of this conclusion, the Court need not resolve the delegation question.

Article 11(g) is severed, and the remainder of the agreement is enforced.

Disposition

Defendants' motion to compel arbitration is **granted**. The motion to dismiss is **denied**. The action is **stayed** pending the outcome of arbitration. The Court sets a post-arbitration status conference for **Monday, December 14, 2026 at 8:30 a.m.** The parties are ordered to file a joint statement with an update on the arbitration at least seven calendar days in advance of the hearing.